

comes to setting up large factories requiring vast tracts of land. One option is to begin freeing up the enormous acreage owned by the government either through public sector units, the defence forces, particularly the cantonments, or the railways. Easing of floor space index restrictions could also permit the vertical growth of cities.

Meanwhile, in the finance sector, the process and procedure of securing finance, the lifeblood of the economy, are still cumbersome and could do with reform on priority. A majority of the 12 public sector banks remain inefficient disbursers of capital, forcing the government to step in and wipe out their NPAs with an infusion of Rs 2.46 lakh crore in 2019. Despite this, PSU bank NPAs stood at Rs 3.7 lakh crore in October 2023. While most PSU banks need to be privatised, the NBFC (non-banking financial company) sector must be encouraged to flourish. The other worrying factor is that with sluggish global economic growth, fresh investment plans by the Indian private sector fell 15.3 per cent in 2023-24 from a high of Rs 37 lakh crore the previous year, while foreign investors slashed new outlays by a third in the same period. To stimulate private investments and prevent further FDI flight, there is a call to ease the regulatory regime across the board, as investors complain of being treated as though they are guilty and have to prove their innocence.

The power of investigating agencies such as the Enforcement Directorate and the Directorate of Revenue Intelligence to arrest and jail people, besides confiscating their assets, has acted as a dampener. Especially as the Modi government has not shied away from using these agencies to settle scores with their political opponents. The other critical reform is rationalising the GST to two slabs from the current four and making it easier for small traders and entrepreneurs to file their bills.

Modi 3.0 will have to adopt a more consultative approach to pass farm and labour laws and evolve a new federal pact to ensure that they are speedily implemented in states

Reducing the level of income tax for the middle class in line with the reduction of corporate tax could spur consumption too.

THE NEW FEDERAL PACT

The exports sector, meanwhile, could do with immediate attention, as growth of merchandise exports plateaued at $437 billion (Rs 36.5 lakh crore) in 2023-24. The intention to sign more bilateral free trade agreements is a welcome one, but the process has to be speeded up. Boosting trade with India's neighbours could dovetail neatly into India's broader foreign policy agenda. After Pakistan thwarted the growth of the South Asian Association for Regional Cooperation (SAARC), India set up the Bay of Bengal Initiative for Multi-Sectoral Technical and Economic Cooperation (BIMSTEC) that has Bangladesh, Bhutan, Nepal, India, Myanmar, Sri Lanka and Thailand as its members. The grouping was set up in 1997, but only five summit meetings have been held in the past 27 years, the last one in March 2022. As a foreign policy expert puts it, "If India has to become a great power, it must first become a major regional one. We must focus on expanding regional trade as China did with ASEAN and Central Asia even as it expanded its footprint across the world."

Critical to the success of Modi's third tenure will be evolving a new federal pact to ensure faster growth, speedier implementation of reforms and service delivery to the last mile and last house in rural areas. The Union government must also stop the practice of introducing multiple central cesses to avoid revenue-sharing with states. Modi talks proudly of the fact that the BJP is in power in some way or the other in as many as 18 of India's 28 states, something that should make his task of building a consensus much easier. Many experts point to the need for micro-reforms at the state, district and panchayati raj levels to ease administrative hurdles and encourage entrepreneurship and innovation at the grassroots level.

While Narendra Modi has said enough on encouraging competitive as well as cooperative federalism, he must work on a less confrontational approach than the one that the Centre has hitherto exhibited. One example is the way governors have routinely overstepped their powers in Opposition-ruled states. Modi and the BJP must also scrupulously observe the coalition dharma if the NDA government has to survive. Plus, as RSS chief Bhagwat has advised, the need of the hour is national consensus. Modi's dictum of 'Reform, Perform and Transform' remains relevant. If he and his team are able to achieve all that we have listed in the following pages as agendas for the various ministries, Modi 3.0 will emerge as a game-changer in India's march towards Viksit Bharat. ■